

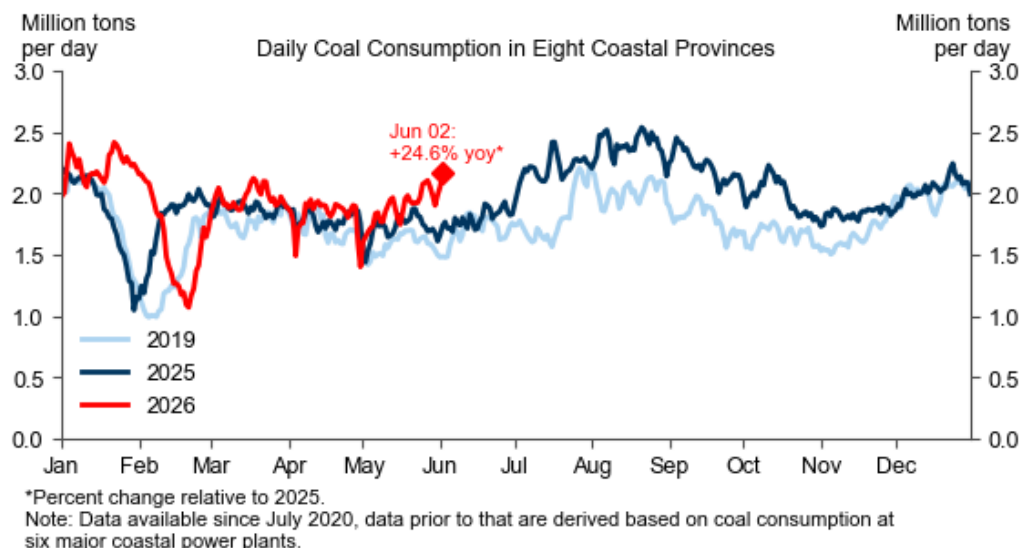
China: Three things in China

Three quick highlights from China:

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- **State Council's cross-border investment regulations:** On June 1, the State Council released a 34-item decree on regulating cross-border investment. In our view, the timing likely relates to the government's recent blocking of the Meta-Manus deal. Amid the US-China tech race and as Chinese companies expand overseas operations and acquire foreign assets, most of the 34 items appear aimed at establishing frameworks to regulate cross-border technology transfers, support Chinese companies going global, and manage the operational and geopolitical risks associated with Chinese businesses and assets abroad. Although individual cross-border investment was briefly mentioned, the decree only states that specific measures "shall be formulated by the investment authorities and commerce authorities under the State Council". In our view, policymakers' primary concern is to closely monitor and manage cross-border technology and capital flows in an increasingly complex geopolitical environment, rather than simply raise tax revenue or reduce capital outflow pressure. After all, exporter conversion ratios have risen, the RMB has appreciated meaningfully this year, and the PBOC's daily fixing suggests an intention to slow the pace of RMB appreciation. That said, we do see a structural trend toward stricter enforcement of rules and regulations, including those related to tax collection and capital flows.
- **Signals from latest high-frequency data:** We highlight two observations from our latest high-frequency data tracking. First, daily transactions in both new and existing homes have remained broadly stable. Recent policy easing remains localized (e.g., Guangzhou's buyback program) and is focused on expanding the use of housing provident funds. Second, higher energy prices continue to affect the Chinese economy: passenger flight numbers are down, flight cancellations are up, and coal consumption has risen significantly above year-ago levels. However, the net impact appears less dramatic, judging by indicators such as the daily traffic congestion index and weekly steel production and demand. Taken together, these data point to greater flexibility in the Chinese economy in adapting to higher oil prices.

Coal consumption in coastal provinces increased notably in recent weeks



Source: Haver Analytics, Goldman Sachs Global Investment Research

- **Trade, inflation and credit data preview:** China's May trade, inflation, and credit data will be released this week. On trade, we think the ongoing global AI capex boom will continue to support China's imports and exports despite energy market disruptions from the Iran war. We expect exports and imports to grow 15% yoy and 30% yoy, respectively, in USD value terms. Inflation is also likely to move higher; we project headline CPI inflation to rise to 1.4% yoy (vs. 1.2% in April) and PPI inflation to reach 4.0% yoy (vs. 2.8% in April). On the other hand, ample interbank liquidity despite the PBOC's net liquidity withdrawals points to continued weakness in bank loan demand. We therefore expect bank loan growth and total social financing net growth to come in below the levels recorded in the same month last year.

Recent GS China macro research

Thematic research and Trump-Xi meeting takeaways:

Asia in Focus: Cost of China's Retail Fuel Price Management Modest and Sustainable, 5 June 2026

Asia Economics Analyst: China: Investment Share of GDP on Structurally Declining Path, 31 May 2026

Asia in Focus: China's Import Boom and Narrowing Surplus: Gold Leads the Drag, Energy and AI Stay Contained, 31 May 2026

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China Matters: Not Too Worried About the April Data Miss, 21 May 2026

Beijing summit tees up issues for a year of meetings, 18 May 2026

Data comments and trackers:

AJ Week Ahead: China money, credit, trade and inflation data; India CPI; Taiwan trade,

5 June 2026

[China Economic Activity and Policy Tracker: June 5, 5 June 2026](#)

[China: Unofficial services PMI rose in May, 3 June 2026](#)

[Hong Kong: PMI increased in May, 3 June 2026](#)

[Hong Kong: Retail sales fell in April, 2 June 2026](#)

[China: Unofficial China manufacturing PMI fell in May, 1 June 2026](#)

[China: Official manufacturing PMI fell while non-manufacturing PMI rose in May, 31 May 2026](#)

[China: Both industrial profits and revenue rose in April; May PMI preview, 27 May 2026](#)

[GS China Econ Proprietary Indicators: May, 21 May 2026](#)

Team presentation materials and webinar replays:

[Macro & Strategy | Global update, Imports & Investments, Market Views \(In Mandarin\), 1 June 2026](#)

[China: GS China Economic Outlook: June 2026 \[Presentation\], 2 June 2026](#)

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